DALAL & BROACHA
STOCK BROKING PVT. LTD.

Margin & Limit setting Policy

This policy has been adopted to minimize the risk to D&BSPL from possible defaults of theclients who deal with it. The risk management systems considering the current operations of the company are:

Margin Requirement and Exposure

- Exposure to the clients will be given on the basis of available Ledger balance and available Margin Pledge Holding after deducting VAR Margin as haircut.

(Clear Ledger Balance + Margin Pledge holding after deducting VAR Margin as hair cut)

- In capital segment, need to maintain VaR & Extreme loss Margin (ELM) or flat 20% on an upfront basis.
- In Cash Segment other margins such as Mark-to-market margin (MTM), delivery margin, special/additional Margin or such other margins as may be prescribed form time to time, need to pay within 'T+1' / 'T+2' working.
- It is mandatory to maintain Peak Margin or OED margin whichever is higher in all exchange and Segments.
- In case of stock sold and early pay-in of shares is done, 80% of Sale value is considered as collateral for trade in cash segment & in other segment.

Limits

Cash segment

Delivery : Maximum 2 time of available Deposit in NRML and 1 time in CNC Product

MIS Trade (Intraday): 2 time of available collateral (only on Dalal & Broacha approved Stock)

MIS (Intraday) product is available for CASH segment only.

Illiquid and Unsolicited SMS Stocks: D&BSPL blocks all illiquid and Unsolicited SMS Stocks, RMS may provide limit on clear credit Ledger Balance subject to screening of Stock.

Trade in GSM Stocks: D&BSPL keep open Stocks of Stage 0 and 1, Stage 2 and above are blocked.

Further exposure shall not be granted to the clients when debit balances arise out of client's failure to pay the required amount and such debit balances continues beyond the fifth trading day, as reckoned from date of pay-in.

Margin Shortfall Penalty: In case of margin shortfall, penalty and other actions levied as per exchange rules and regulations.

Liquidation:

Clients **having outstanding debit** ledger balance/margin obligations / other dues, D&BSPL as per SEBI directives Circular CIR/HO/MIRSD/DOP/CIR/P/2019/75 dated 20th June 2019 shall transfer the securities in the CUSA (Client unpaid securities account).

If any client fails to fulfill the required funds' obligation and/or Margin Obligations / other dues, the securities may be liquidated on or before T+2+5 days (T indicates Trading day) as per regulation.

It is the clients' obligation to settle the dues on T+2 days in cash segment and on T+1 day in derivative (Equity, Currency & commodity derivative) segment and also maintain sufficient margin towards margin obligation.

In case the client fail to fulfill his/her/it's margin obligation, fund obligation, securities pay-in obligation till pay-in day, D&BSPL has the right to sell the clients securities or the right to close the open positions ofthe clients in derivatives segments to the extent of shortfall amount and/or settlement dues and other dues.

Review

- RMS Team regularly reviews the Liquidity and volatility of Stocks and we may block particular stock as per Risk alert.
- RMS Team reviews the policy on regular interval and makes changes as per regulatory requirement and Internal Risk assessment

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(Nailesh P Dalal- Designated Director)

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(Vipul P Dalal-Designated Director)